

Calendar Line 6

Case Name: Sanders v. 360 Degree Customer, Inc. (Class Action)
Case No.: 22CV407883

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. BACKGROUND

This is a putative class and representative action arising from alleged wage and hour violations. On November 16, 2022, plaintiff David Jermaine Sanders (“Plaintiff”) began this action by filing a class action complaint against defendant 360 Degree Customer, Inc. (“Defendant”). On August 25, 2023, Plaintiff filed the operative second amended complaint against Defendant, asserting various causes of action based on alleged violations of wage and hour laws, including under the Private Attorneys General Act (“PAGA”).

On April 12, 2024, Plaintiff filed an application for an order permitting service by publication on the grounds that he had not been able to serve Defendant by other means despite repeated efforts. On May 3, 2024, the court issued an order denying the application for service by publication, without prejudice, stating that Plaintiff must first attempt service on the defendant corporation by service on the Secretary of State, as authorized under the law.

Now before the court is Plaintiff’s motion for application for service of process by service on the Secretary of State. The motion is unopposed.

II. DISCUSSION

Plaintiff moves for an order pursuant to Code of Civil Procedure section 416.10, subdivision (d), authorizing service of the summons and complaint on the California Secretary of State to effectuate service on corporate defendant 360 Degree Customer, Inc.

As a general matter, effecting service on a corporation requires the delivery of summons and complaint to a person on behalf of the corporation. (Code Civ. Proc., § 416.10 (“Section 416.10”); *Dill v. Berquist Construction Co.* (1994) 24 Cal.App.4th 1426, 1437

[“when the defendant is a corporation, the ‘person to be served’ is one of the individuals specified in in section 416.10”].) A corporation that has been suspended but continues to operate may be served under Section 416.10, like any other corporation.² (*Gibble v. Car-Lene Research, Inc.* (1998) 67 Cal.App.4th 295, 302 [disapproved on other grounds by *California Capital Ins. Co. v. Hoehn* (2024) 17 Cal.5th 207, 215].)

Section 416.10 provides, “A summons may be served on a corporation by delivering a copy of the summons and the complaint by any of the following methods: [¶] (a) To the person designated as agent for service of process [¶] (b) To the president, chief executive officer, or other head of the corporation, a vice president, a secretary or assistant secretary, a treasurer or assistant treasurer, a controller or chief financial officer, a general manager, or a person authorized by the corporation to receive service of process. [¶] (c) If the corporation is a bank, to a cashier or assistant cashier or to a person specified in subdivision (a) or (b). [¶] (d) If authorized by any provision in Section 1701, 1702, 2110, or 2111 of the Corporations Code (or Sections 3301 to 3303, inclusive, or Sections 6500 to 6504, inclusive, of the Corporations Code, as in effect on December 31, 1976, with respect to corporations to which they remain applicable), as provided by that provision.”

As relevant here, Corporations Code section 1702 provides:

If an agent for the purpose of service of process ... cannot with reasonable diligence be found at the address designated for personally delivering the process ... and it is shown by affidavit to the satisfaction of the court that process against a domestic corporation cannot be served with reasonable diligence upon the designated agent by hand in the manner provided in Section 415.10, subdivision (a) of Section 415.20 or subdivision (a) of Section 415.30 of the Code of Civil Procedure or upon the corporation in the manner provided in subdivision (a), (b), or (c) of Section 416.10 or subdivision (a) of Section 416.20 of the Code of Civil Procedure, the court may make an order that the service be made upon the corporation by delivering by hand to the Secretary of State, or to any person employed in the Secretary of State’s office in the capacity of assistant or deputy, one copy of the process for each defendant to be served, together with a copy of the order authorizing such service. Service in

² Similarly, a defunct or dissolved corporation may be served by delivering a copy of the summons or other process to an officer, director, or person having charge of its assets, and if no such persons or agents can be found, the court may make an order authorizing service on the Secretary of State. (Code Civ. Proc., § 416.20, subd. (b); *Penasquitos, Inc. v. Superior Court* (1991) 53 Cal.3d 1180, 1185, fn. 4.)

this manner is deemed complete on the 10th day after delivery of the process to the Secretary of State.

(Corp. Code, § 1702, subd. (a).)

Here, Plaintiff's counsel has submitted a declaration in support of the instant motion, describing his office's attempts to effectuate service on Defendant. (Declaration of Enzo Nabiev in Support of Service of Process by Service Upon the Secretary of State ("Nabiev Decl."), ¶¶ 6-11.) Mr. Nabiev's office performed a business entity search through the California Secretary of State website, discovering that Defendant's agent for service of process is Gulneesh Mukhiya and that Defendant's principal place of business (and Gulneesh Mukjiha's listed address) is on Sapena Court in Santa Clara, California. (*Id.* at ¶¶ 6-7.)

After repeated and unsuccessful efforts to effectuate service at the Santa Clara address, Mr. Nabiev's office performed internet searches to identify other possible addresses for Defendant's agent for service of process. (Nabiev Decl., ¶ 9.) According to these searches, there were three other addresses possibly associated with Ms. Mukjiha: one on Chardonnay Court in Saratoga, California; one on Healthmore Drive in Fairburn Georgia, and one on Fortran Drive in San Jose, California. (*Ibid.*) Service was not successful at the Saratoga Address because Ms. Mukjiha did not reside there. (*Ibid.*) Service was not effectuated at the Georgia address, because when the tenant eventually responded to the process server, the tenant said she worked for Defendant years ago as a speech therapist and does not have an ownership interest in the property. (*Ibid.*) Service was also not effectuated at the San Jose address because the location is now a different business, and the front desk informed the process server that Defendant occupied the location ten years prior. (*Id.* at ¶ 9 and Ex. C.)

Plaintiff's counsel provides declarations from five different process servers documenting a total of 16 different attempts to effectuate service at the three addresses between December 12, 2022 and March 11, 2024. (Nabiev Decl., ¶ 9 and Ex. C.) Plaintiff's counsel also attempted to effectuate service on Defendant by substitute service pursuant to Code of Civil Procedure section 415.20, but this was unsuccessful because the business was closed, and no activity was detected inside the place of business. (*Id.* at ¶ 13 and Ex. C [detailing the process server's attempts].) The court also observes that Plaintiff has provided proofs of service indicating that copies of the instant motion and Mr. Nabiev's supporting declaration were

mailed to Gulneesh Mukhija's attention at the Santa Clara address in Santa Clara associated with Defendant.

The court concludes that based on the foregoing showing, Plaintiff has demonstrated that Defendant cannot, with reasonable diligence, be served with summons and complaint in any of the manners of service set forth in subdivision (a) of Corporations Code section 1702. Accordingly, service may be made on Defendant via the California Secretary of State.

III. CONCLUSION

Plaintiff's motion requested an order authorizing service of process on Defendant by service upon the California Secretary of State is GRANTED.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 7

Case Name: Topete v. Claire's Boutiques, Inc., et al. (PAGA)
Case No.: 22CV407922

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 26, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a representative action for civil penalties pursuant to the Private Attorneys General Act ("PAGA"), arising from alleged wage and hour violations. On November 23, 2022, plaintiff Karina Topete ("Plaintiff") began this action by filing a complaint against defendants Claire's Boutiques, Inc., and Claire's Stores, Inc., asserting causes of action for: (1) civil penalties pursuant to PAGA for violations of Labor Code and Industrial Welfare Commission ("IWC") Wage Order No. 7-2001, subdivision 14(A); and (2) civil penalties pursuant to PAGA for violations of Labor Code and Industrial Welfare Commission ("IWC") Wage Order No. 7-2001, subdivision 14(B). On December 8, 2023, the court issued an order deeming the case complex and staying the discovery and responsive pleading deadline.

On February 28, 2025, Plaintiff filed the motion now before the court, a motion for preliminary approval of class action and PAGA settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)